

However, if the micro-entity voluntarily chooses to prepare a directors' report or strategic report, the provisions in section 496 of the Companies Act 2006 still apply. Therefore, the section on 'opinions on other matters prescribed by the Companies Act 2006' set out in Appendix 1 (where just a directors' report) or Appendix 2 (if also a voluntary strategic report) of the FRC Bulletin should be included in the audit report. This includes reporting as to whether the directors' report and/or strategic report have been prepared in accordance with applicable legal requirements even though there are no such legal requirements for micro-entities.

Matters on which the auditor is required to report by exception

If no voluntary directors' report or strategic report is prepared, the following wording should be deleted:

~~In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in [the strategic report or] the directors' report.~~

The auditor's responsibilities for certain other matters we report on by exception in section 498 of the Companies Act have not been amended to reflect the requirements of the micro-entities regime.

There are no disclosure requirements for directors' benefits (remuneration, pensions and compensation for loss of office) for micro-entities. However, the Companies Act duty for the auditor to report on this matter by exception still applies for micro-entities.

Technically the Companies Act 2006 still requires the auditor of micro-entities to report on whether the financial statements were inappropriately prepared in accordance with the small companies regime or whether the directors took small company exemptions the company was not entitled to in relation to the directors' report and strategic report. There is no amended duty for micro-entities.

However, by definition if there were no issues with a company reporting in accordance with the micro-entities regime there would have been no issue if the company had instead taken the exemptions available to small companies.

Where the company has prepared a voluntary directors' report and a strategic report, but not included all of the information that would be required for large and medium-sized entities, the following wording can be used:

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit; or
- the directors were not entitled to prepare the financial statements in accordance with the ~~small companies~~ micro-entities regime and take advantage of the ~~small companies'~~ micro-entities' exemptions in preparing the directors' report and ~~from the requirement to prepare a~~ strategic report.

Where the company has prepared a voluntary directors' report only, but not included all of the information that would be required for large and medium-sized entities, the following wording can be used:

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or